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HSBC Holdings | Asia Pacific

A Pathway to 20% ROTE

WHAT'S CHANGED

HSBC Holdings (0005.HK)	From	To
Price Target	HK\$150.50	HK\$155.20

We review HSBC's medium term earnings power and conclude that a combination of stronger loan growth, Wealth and room to increase efficiency puts 20% ROTE in play medium term. We remain Overweight on 0005.HK.

Revenue momentum is picking up across our coverage. The AI driven capex cycle is keeping economies more resilient than expected, and driving a recovery in loan growth and strong capital markets activity. In the case of HSBC this is compounded by an improvement in the outlook in China and the bottoming of HK CRE. Our base case assumes the Middle East conflict slows down activity, but if the current momentum holds, we see upside to revenues above the company's guidance and consensus.

Loan growth to support NII from here. With the curve having now priced out further rate cuts in the US, we believe the worst of the NII pressures are now behind us, and we see the 4-5% NII growth implied in HSBC's c. \$46bn Banking NII guidance for 2026E as sustainable in outer years. UK and CIB loan growth has already recovered, and we see early signs that HK is picking up, which would accelerate group loan growth to a 5% CAGR 2025-28E. With Deposit growth already at 7% yoy in 1Q26, we see upside to \$50bn NII on the cards for 2028E.

Strong Net New Money also suggests upside to fees. Net New Money at \$39bn in 1Q26 had the strongest start of the year since we have disclosure driven by Asia, with management flagging that strength has continued into Q2. Our base case assumes Net New Money in Asia slows down to 6% medium term, factoring in some disruption; however, if flows stay at 10% (similar to the last 3 years all else equal), we would see Wealth fees growing at a 15% CAGR vs. c. 11% in our base case.

Revenue upside comes on top of efficiency pipeline. HSBC has exited countries and businesses, reducing complexity in the last 5 years; however we believe Holdco and Central Services have lagged somewhat and now make up 49% of the group's total FTEs, 7pp higher than 5 years ago. We acknowledge there could be some reclassifications, however in a world where AI drives increased efficiency, we see potential to reduce headcount by 15-25k, which we believe would allow further simplification benefits beyond 2026 of c. 1% per year out to 2028E.

20% ROTE 2028E within reach, but not a base case. In this note we upgrade our earnings forecasts by 1-1.5% incorporating the costs savings, but we hold back on forecasting revenue increases pending a resolution to the Middle East conflict, leading to a +3% revision to our PT which is at HK\$155.2 now. Potential earnings upside keeps us Overweight on the name.

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HSBC Holdings (0005.HK, 5 HK)

Hong Kong Financials | Hong Kong

Stock Rating	Overweight
Industry View	In-Line
Price target	HK\$155.20
Up/downside to price target (%)	12
Shr price, close (May 12, 2026)	HK\$138.60
52-Week Range	HK\$148.00-87.65
Sh out, dil, curr (mn)	17,294
Mkt cap, curr (mn)	US\$306,170
Avg daily trading value (mn)	HK\$1,844

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (US\$)**	1.55	1.72	1.87	2.08
Prior EPS (US\$)**	-	1.72	1.86	2.05
EPS (US\$)§	1.42	1.66	1.83	2.00
ModelWare net inc (US \$ mn)	27,228	29,423	31,254	33,565
P/E	10.1	10.3	9.5	8.5
P/BV	1.4	1.5	1.4	1.3
ROE (%)	14.7	14.8	15.3	16.1
Tang BV (US\$ bn)	165	170	173	179
P/tang BV	1.6	1.8	1.7	1.6
Core tier 1 capital ratio, Basel 3 (%)	14.9	14.4	14.5	14.5
RWA, Basel 3 (US\$ bn)	889	901	924	950

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework
** = Based on consensus methodology
§ = Consensus data is provided by Refinitiv Estimates
e = Morgan Stanley Research estimates

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We remain Overweight in 0005.HK

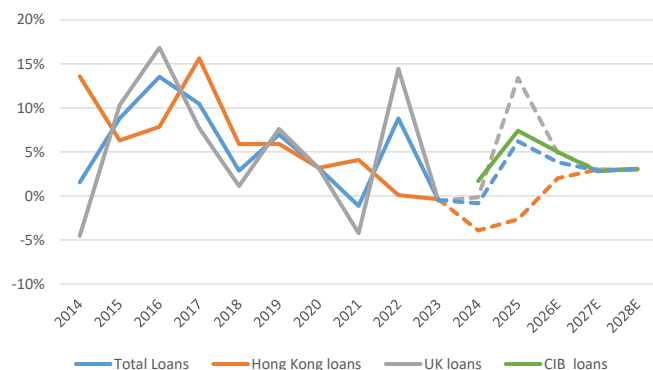
We see >3% upside to revenues driven by loan growth and fees...

Q1 results showed signs of broad-based strength in activity. Loan growth in CIB was up 3.4% qoq, Hong Kong was up 0.5%, and the UK continues to show a healthy 10% yoy growth rate. With Deposits growing at 7% yoy, and bear case outcomes on rates likely off the table, visibility on NII is improving. Our base case estimates point to NII growth of 3-4% in 2026/28E; however, in a scenario of a relatively quick re-opening of the Strait of Hormuz, where volume growth momentum holds, we see 5% loan growth as sustainable and NII growth closer to 5%.

Similarly on fees, 1Q26 saw the strongest inflows in Wealth since we have disclosures of a 17% annualized rate in Asia Invested Assets (8.8% in total). When we look at the bank's peers (see [Exhibit 2](#) and [Exhibit 6](#)) we see similarly strong numbers coming from HK/China, which was particularly strong this quarter. Our base case assumes 6-8% Net New Money flows 2025-2028E; however, based on the strength seen in Q1 and with the outlook in China improving, we see 10% growth, similar to the average of the last 3 years (9%), as plausible. This would drive Wealth fees at a 15% CAGR instead of our 11% base case.

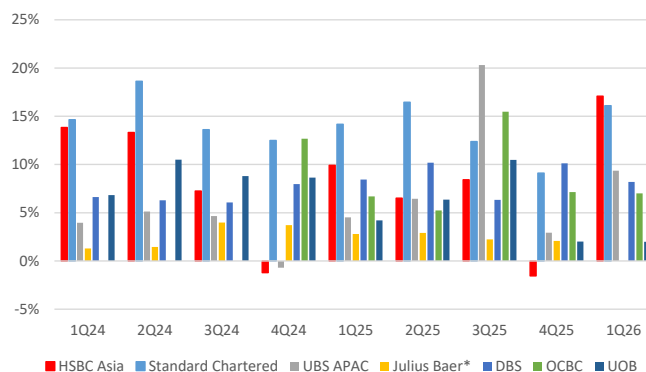
Dealogic continues to point to strength in deal flow, and we believe the sheer size of the AI capex cycle is filtering through the broader market and provides upside potential to our CIB numbers as well. For context, we estimate CIB Fees for HSBC at a 3.7% CAGR 2025-2028E compared to a 14% CAGR in IB fees 2025-2028E globally driven by M&A and ECM.

Exhibit 1: We forecast 4% loan growth in 2026, slowing down to 3% in 2027-28E



Source: Company data, Morgan Stanley Research estimates *System data until 2023, HSBC data from 2023 onwards

Exhibit 2: Net New Money Flows have averaged 10% in Asia, with HK banks standing out



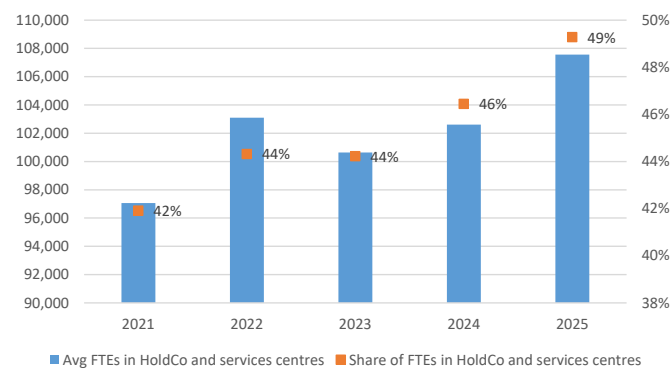
Source: Company data, Morgan Stanley Research estimates *Julius Baer reports semi-annually, assumed equal split between quarters

Revenue upside would build on efficiency catch-ups in central services

HSBC has exited countries and businesses, reducing complexity in the last 5 years, however it appears that the reduction of central services has not kept pace. 49% of FTEs now sit in HoldCo and service centres versus a 45% average over 2021-25. As previously noted in our [2026 Outlook](#), AI use cases point to efficiency gains to the tune of 30%. If HSBC were to leverage AI to streamline central processes and simplify shared services, a move back toward the 2021-25 average share looks feasible over time.

A headcount reduction in central services back to 2021-24 levels would imply 15-25k fewer FTEs. This would imply a 14-23% reduction in the average number of FTEs in central services vs. 2025. Assuming these employees have an average 30% lower compensation vs all employees based on their role, we estimate this could reduce operating costs for the group by 4%.

Exhibit 3: FTEs in Holding Companies and shared service centres has crept up, suggesting there is further room for efficiencies



Source: Company data, Morgan Stanley Research

Exhibit 4: Reducing 20k FTEs from central & shared services would bring the proportion of support staff back to its medium-term average while reducing costs by c. 4%

	Scenario 1	Scenario 2	Scenario 3
Assumptions			
Reduction of FTEs in HoldCo & service centres	15,000	20,000	25,000
Net comp per avg FTE in HoldCo & service centres*	\$62.7k	\$62.7k	\$62.7k
Initial one-off cost to implement headcount reduction**	\$0.2bn	\$0.3bn	\$0.4bn
Future state			
Share of FTEs in HoldCo & service centres	46%	44%	43%
Savings in Personnel expenses	\$0.9bn	\$1.3bn	\$1.6bn
Delta in Operating Costs (2026E)	2.8%	3.7%	4.6%

*assuming a 30% discount for support staff
**assuming 50% of FTE reduction is voluntary, and the rest is paid on average 6 months of salary

Source: Company data, Morgan Stanley Research estimates

Wealth alone could drive c. 4% upside to Fees

Management recently replaced its 10% fee growth guidance in Wealth, for a total group revenue growth target accelerating towards >5% by 2028E. This raised the debate of whether it signaled growth may slow down from here, however Net New Money flows across the market suggest wealth NNM will remain stronger for longer. In Q1, Net New Money reached \$39bn, including \$34bn of net new invested assets (NNIA) the strongest on the data series. We acknowledge the company called out two large private banking mandates, however even stripping those out, there are no signs of slowing momentum.

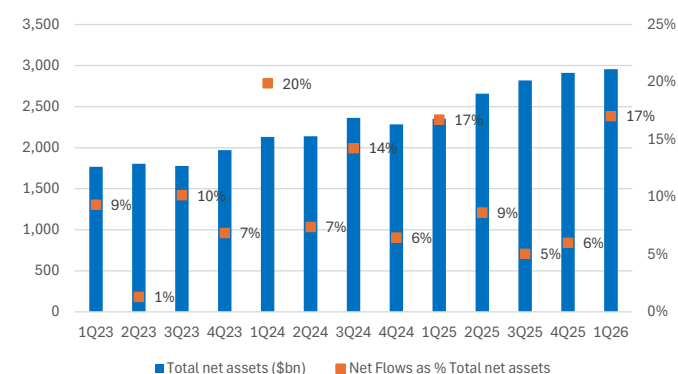
Our scenario analysis suggests that if NNIA flows stay at 6-10% in Asia (compared to the average of the last 5 years of 9%), with stable margins, we estimate this can drive a c. 17% fee CAGR 2025-2028E in Wealth (ex. insurance) vs. consensus and our base case closer to 13%. This would drive 4% upside to our total Group fee estimates.

Exhibit 5: Upside scenario

HSBC	2025	2026e	2027e	2028e
Global Invested Assets	1,535	1,753	1,990	2,255
HSBC AM 3rd party distribution	580	626	677	731
% chg		8%	8%	8%
HSBC Customer Assets	955	1,127	1,314	1,524
% chg		18.0%	16.6%	16.0%
- Asia invested assets	648	758	872	994
- RoW invested assets	307	368	442	530
Asia NNIA	39	78	76	78
as a % of AUM	7.3%	12.0%	10.0%	9.0%
Investment Return	74	32	38	44
as a % of AUM	13.8%	5.0%	5.0%	5.0%
RoW NNIA	41	46	55	66
as a % of AUM	15.2%	15.0%	15.0%	15.0%
Investment Return	-3	15	18	22
as a % of AUM	-1.1%	5.0%	5.0%	5.0%
Wealth margin (ex. insurance)		0.49%	0.50%	0.51%
Wealth revenues ex.insurance	6,791	8,046	9,420	10,860
Total Wealth Revenues	9,390	10,840	12,507	14,271

Source: Morgan Stanley Research estimates

Exhibit 6: Strong net flows into Asian-domiciled funds in the first quarter of 2026



Source: Morningstar

Our base case scenario assumes 6-10% NNIA in Asia...

We assume HSBC can continue to generate healthy net new invested assets, albeit at a more normalised pace than the very strong recent period. Longer term demographics and wealth accumulation continue to point to a NNIA formation of 6-10% p.a. in Asia and 7% p.a. in Rest of World, which coupled with market performance we think can drive an 11% CAGR in Customer Assets over the next three years.

Wealth Margin: We forecast wealth margin hovering around 50bps over 2026E-2028E, versus an average of 46bps in 2023-2025. Our base case assumes future fee growth driven primarily by asset gathering and modest market tailwinds rather than elevated transactionality.

Market performance: We assume a relatively modest market backdrop in our base case, with investment performance of 3% p.a. over 2026E-2028E. In our view, this makes the

base case more credible, as it avoids relying on strong beta-driven asset inflation and places greater weight on HSBC's underlying ability to gather and retain client assets.

Exhibit 7: Assumptions over the next 3 years

Assumptions	2026E	2027E	2028E
Base case			
Asia NNIA as % of AUM	10.0%	8.0%	6.0%
RoW NNIA as % of AUM	7.0%	7.0%	7.0%
Investment return	3.0%	3.0%	3.0%
AM 3rd party distribution YoY growth	6.0%	6.0%	6.0%
Wealth margin	0.49%	0.50%	0.51%
Wealth cost-income ratio	65%	65%	65%
Upside scenario			
Asia NNIA as % of AUM	12.0%	10.0%	9.0%
RoW NNIA as % of AUM	15.0%	15.0%	15.0%
Investment return	5.0%	5.0%	5.0%
AM 3rd party distribution YoY growth	8.0%	8.0%	8.0%
Wealth margin	0.49%	0.50%	0.51%
Wealth cost-income ratio	64%	62%	60%

Source: Morgan Stanley Research estimates

Exhibit 8: Our base case scenario for Wealth

HSBC	2023	2024	2025	2026e	2027e	2028e
Global Invested Assets	1,191	1,293	1,535	1,685	1,836	1,986
HSBC AM 3rd party distribution	445	489	580	615	652	691
% chg	30%	10%	18.6%	6%	6%	6%
HSBC Customer Assets	746	804	955	1,070	1,184	1,295
% chg	10.5%	7.8%	18.8%	12.1%	10.7%	9.3%
- Asia invested assets		535	648	732	813	886
- RoW invested assets		269	307	338	371	409
Asia NNIA as a % of AUM		47	39	65	59	49
Investment Return as a % of AUM			7.3%	10.0%	8.0%	6.0%
RoW NNIA as a % of AUM		17	41	21	24	26
Investment Return as a % of AUM			15.2%	7.0%	7.0%	7.0%
Wealth margin (ex. insurance)	0.44%	0.45%	0.48%	0.49%	0.50%	0.51%
Wealth revenues ex. insurance	4,875	5,646	6,791	7,880	8,860	9,776
Total Wealth Revenues	6,339	7,559	9,390	10,609	11,808	12,959

Source: Morgan Stanley Research estimates

In Q1 HSBC saw 17% Net New Invested Assets in Asia annualized

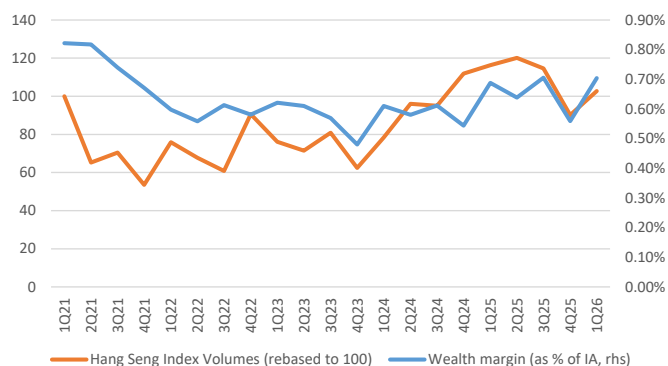
In our upside case, we assume that HSBC is able to sustain the strong commercial momentum across its wealth franchise, supported by robust net new invested assets, a more favourable market backdrop (c.5% investment returns p.a.) and stronger Asset Management third party distribution growth. Specifically, we model Asia NNIA at 9-12% during 2026E-2028E (compared to average Asia NNIA of 9% during 2021-25), while Rest of World NNIA remains at 15% throughout the forecast period. For context 1Q26 NNIA for Asia were at 17% annualized, and the market is at c.10%.

Exhibit 9: We are 2-4% ahead of consensus on Group fees in our upside scenario

\$m	Base case vs VA Consensus			Upside scenario vs VA Consensus		
	2026E	2027E	2028E	2026E	2027E	2028E
Total Group Fees	0.9%	-0.1%	-0.2%	1.8%	2.4%	4.1%
ow: Wealth	0.0%	0.1%	-2.0%	2.4%	6.6%	8.5%
ow: CIB	0.6%	0.7%	2.1%	0.6%	0.7%	2.1%
ow: Other	3.9%	-3.1%	-2.3%	3.9%	-3.1%	-2.3%

Source: Visible Alpha, Morgan Stanley Research estimates

Exhibit 10: HSBC's wealth margin has closely tracked the activity in Hang Seng index

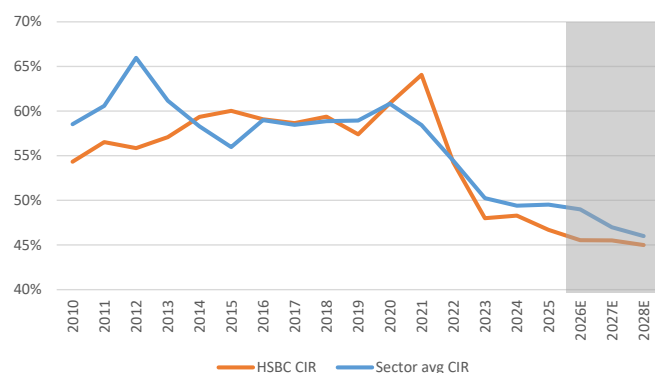


Source: Bloomberg, Company data, Morgan Stanley Research

More Room for C/I Reduction

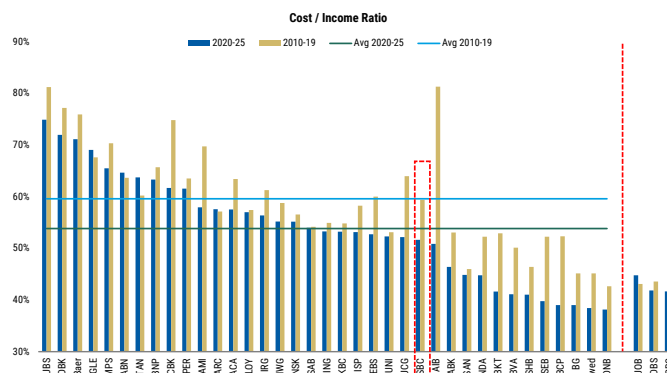
The cost delivery of HSBC has improved in recent years, with the company simplifying its structure and exiting countries and businesses. We believe this simplification into markets and businesses where the company has scale and stronger franchises still leaves room for further improvements in the C/I ratio. The C/I has improved 7pp from 2022 to 2025 and we forecast it to be at 46% 2026E, however, with 35% market share in HK, a leading deposit Franchise in the UK, and a more focused CIB business, we believe there is more room to go. Our base case sees a reduction to below 45% 2028E, and closer to 43% in our upside to revenues scenario.

Exhibit 11: HSBC's cost-income ratio has declined noticeably over the last few years, tracking the broader sector



Source: Company data, Morgan Stanley Research

Exhibit 12: HSBC's CIR is now lower than the European banks' average in 2020-25

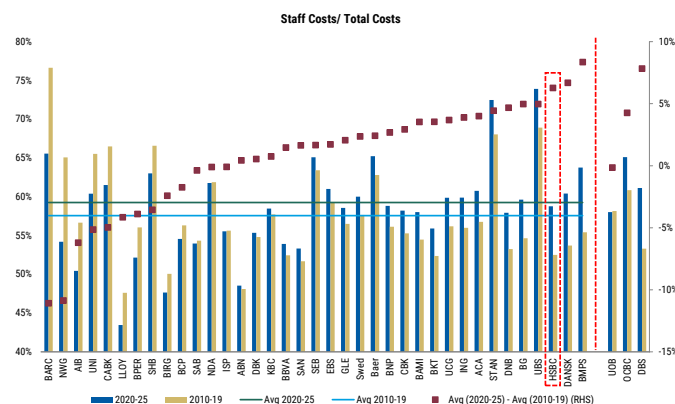


Source: Company data, Morgan Stanley Research

We see room for headcount reduction

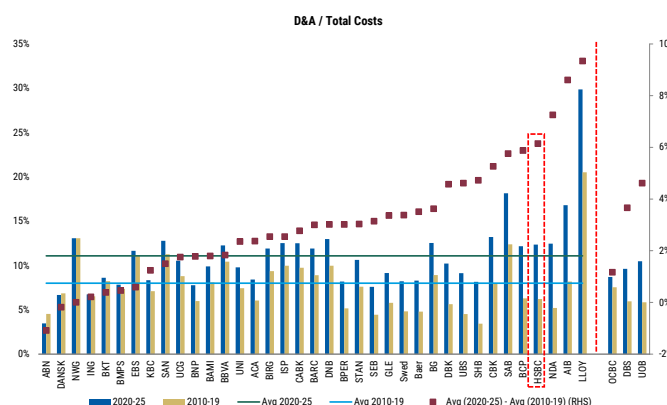
Despite the improvement in the Cost Income ratio, staff costs have increased relative to total costs (+6pp in 2020-25 vs 2010-19 for HSBC, compared to +1pp for the sector). Looking at the comps we don't believe this is justified by the business model and/or regional footprint, and could be explained by central services functions not having caught up with the extensive simplification of the business in the last 5 years.

Exhibit 13: Staff costs have risen as a proportion of total costs

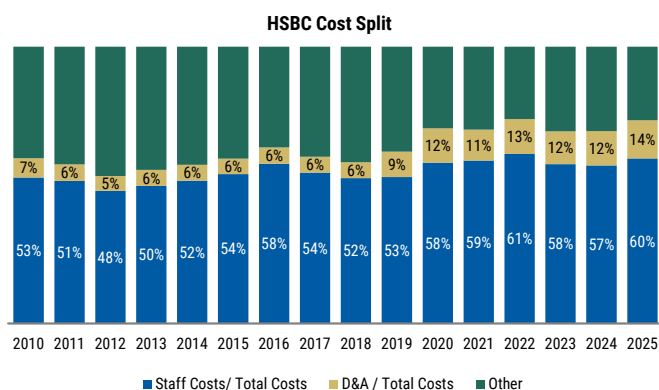


Source: Company data, Morgan Stanley Research

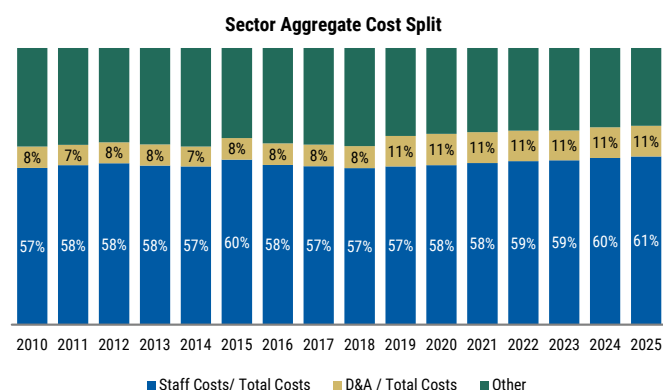
Exhibit 14: ... and the business model is becoming more Capex intensive



Source: Company data, Morgan Stanley Research

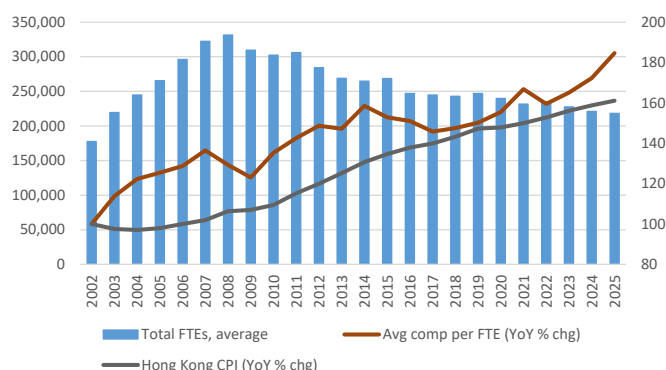
Exhibit 15: HSBC still carries a relatively staff-heavy cost base

Source: Company data, Morgan Stanley Research

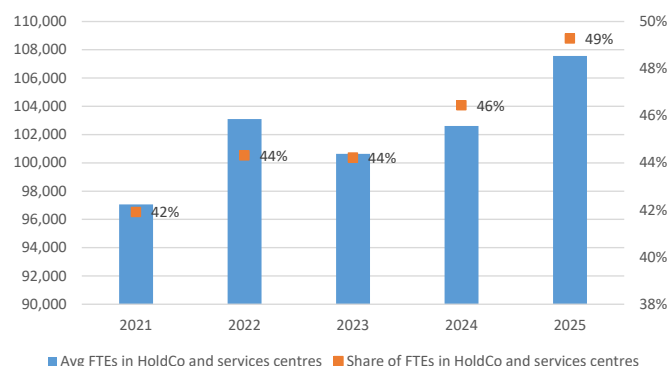
Exhibit 16: Sector cost mix has remained broadly stable over time

Source: Company data, Morgan Stanley Research

The growth in Asia Wealth and the disposal of more FTE-intensive businesses can explain part of the increase in staff costs within the mix, however we have also observed that the share of employees in Holding Companies and shared service centres has risen from 42% in 2021 to 49% in 2025, according to the bank's annual disclosures ([Exhibit 18](#)). Considering the improvements in automation down the pipeline coming from the deployment of AI, we believe there is a path to sustained positive jaws for the next few years.

Exhibit 17: Average compensation per FTE has grown faster than CPI likely driven by the mix...

Source: Company data, Morgan Stanley Research

Exhibit 18: ... however share of FTEs in Holding Companies and shared service centres has crept up, suggesting there is further room for efficiencies

Source: Company data, Morgan Stanley Research

Personnel expenses accounted for c.59% of HSBC's recurring operating costs in FY25, and 49% of FTEs now sit in HoldCo and service centres versus a 45% average over 2021-25. As previously noted in our [2026 Outlook](#), we have seen many use cases showing efficiency gains from AI and further digitalisation to the tune of 30%. If HSBC were to leverage AI to streamline central processes and simplify shared services, a move back toward the 2021-25 average share looks feasible over time.

A headcount reduction in central services back to 2021-24 levels would imply 15-25k fewer FTEs. This implies 14-23% reduction of the average FTEs in central services in 2025E, which we believe compares well with the 30% typical efficiencies we see in AI use cases,

and leaves room for re-hiring. Assuming these employees have an average 30% lower compensation vs all employees based on their role, we estimate this can reduce operating costs for the group by 4%.

We believe much of this could be done by natural attrition considering the voluntary attrition rate has averaged c.9.4% since 2019. Assuming half of the headcount reduction is achieved through natural attrition and the remainder through exits compensated at roughly 6 months of salary, this would cost \$200-400mn, so we would not expect material restructuring charges as a result.

Exhibit 19: Personnel expenses accounted for c.59% of underlying costs in FY25

FY25 data on personnel and costs	
Total FTEs (avg)	218,271
FTEs in HoldCo & service centres (avg)	107,559
Net comp per avg FTE	\$89.6k
Personnel expenses as % of operating costs	58.9%
Share of FTEs in HoldCo & service centres	49%
Share of FTEs in HoldCo & service centres (avg 2021-25)	45%

Source: Company data, Morgan Stanley Research

Exhibit 20: Reducing 20k FTEs from central & shared services would bring the proportion of support staff back to its medium-term average while reducing costs by c.4%

	Scenario 1	Scenario 2	Scenario 3
Assumptions			
Reduction of FTEs in HoldCo & service centres	15,000	20,000	25,000
Net comp per avg FTE in HoldCo & service centres*	\$62.7k	\$62.7k	\$62.7k
Initial one-off cost to implement headcount reduction**	\$0.2bn	\$0.3bn	\$0.4bn
Future state			
Share of FTEs in HoldCo & service centres	46%	44%	43%
Savings in Personnel expenses	\$0.9bn	\$1.3bn	\$1.6bn
Delta in Operating Costs (2026E)	2.8%	3.7%	4.6%
*assuming a 30% discount for support staff			
**assuming 50% of FTE reduction is voluntary, and the rest is paid on average 6 months of salary			

Source: Company data, Morgan Stanley Research estimates

Exhibit 21: We expect costs to increase 2.5-3% p.a. in 2027/28E vs. underlying 4-5% growth

\$m	2024	2025	2026E	2027E	2028E	YoY change		
						FY26E/ 25A	FY27E/ 26E	FY28E/ 27E
Personnel Expenses	18,465	19,553	19,915	20,297	20,687	1.9%	1.9%	1.9%
avg FTEs	220,928	218,271	211,723	207,488	203,339	-3.0%	-2.0%	-2.0%
avg comp per FTE (\$)	83,579	89,581	94,060	97,823	101,736	5.0%	4.0%	4.0%
Admin Expenses	10,016	8,705	9,010	9,280	9,558	3.5%	3.0%	3.0%
Depreciation & Amortisation	4,080	4,916	5,408	5,732	6,019	10.0%	6.0%	5.0%
Underlying Operating costs	32,561	33,174	34,332	35,309	36,264	3.5%	2.8%	2.7%

Source: Company data, Morgan Stanley Research estimates

Summary Financials

Exhibit 22: Financial Summary

HSBC	2022	2023	2024	2025	2026e	2027e	2028e	2023	2024	2025	2026E	2027E	2028e
US\$ bn													
Profit & Loss account													
Net interest income	32.6	35.8	32.7	34.8	36.7	37.8	39.6	10%	(9%)	6%	6%	3%	5%
Net fees and commissions	11.5	11.8	12.3	13.3	14.5	13.9	14.9	3%	4%	8%	9%	(5%)	7%
Trading income	n/a	n/a	n/a	n/a	n/a	n/a	n/a	--	(29%)	--	--	9%	4%
Other income (net claims)	4.0	-6.5	-4.6	-8.0	23.6	25.8	26.8	--	43%	(30%)	--	4%	5%
Non interest income	15.5	5.4	7.7	5.4	38.1	39.6	41.7	(14%)	(2%)	(1%)	--	3%	5%
Total income	48.1	41.2	40.4	40.2	74.8	77.4	81.2	5%	3%	2%	3%	3%	3%
Operating expenses	-30.4	-31.9	-32.8	-33.5	-34.3	-35.3	-36.3	(47%)	(18%)	(12%)	--	4%	7%
Pre-provision operating profit	17.7	9.3	7.6	6.7	40.5	42.1	45.0	(4%)	(1%)	13%	21%	(16%)	2%
Impairments	-3.6	-3.4	-3.4	-3.9	-4.7	-3.9	-4.0	3%	4%	(0%)	(5%)	5%	5%
Associates & JVs	2.7	2.8	2.9	2.9	2.8	2.9	3.1	11%	(18%)	(19%)	--	7%	7%
Operating profit	16.8	8.7	7.1	5.8	38.6	41.1	44.0						
Own debt	0.0	0.0	0.0	0.0	0.0	0.0	0.0						
Non-qualifying hedges	0.0	-1.0	0.0	0.0	0.0	0.0	0.0						
Disposal gains/one-off income	-0.6	1.0	-1.5	-2.1	-0.8	0.4	0.0						
Conduct/litigation costs	0.0	0.0	0.0	-1.4	0.0	0.0	0.0						
Ring fence/ Brexit costs	0.0	0.0	0.0	0.0	0.0	0.0	0.0						
Restructuring costs	-3.1	0.1	0.0	-1.0	-0.9	-0.3	-0.1						
Other significant items	4.4	21.5	26.8	28.8	0.0	0.0	0.0						
Profit before tax	17.5	30.3	32.3	29.9	36.9	41.2	43.9	--	6%	(7%)	23%	12%	7%
Tax	-0.9	-5.8	-7.3	-6.8	-7.9	-8.8	-9.4	--	26%	(7%)	16%	12%	7%
Minorities, AT1, prefs. & other	-1.8	-2.1	-2.1	-2.0	-1.1	-1.1	-1.1	15%	(2%)	(3%)	(44%)	(6%)	0%
Net attributable profit	14.8	22.4	22.9	21.1	27.9	31.3	33.5	--	2%	(8%)	32%	12%	7%
Adjusted net profit	19.7	23.7	24.5	27.2	29.4	31.3	33.6	20%	3%	11%	8%	6%	7%
Key items													
Number of Shares (avg, fd)	19,986	19,600	18,485	17,547	17,140	16,721	16,129	(2%)	(6%)	(5%)	(2%)	(2%)	(4%)
EPS (for cons. US\$)	0.99	1.21	1.33	1.55	1.72	1.87	2.08	22%	10%	17%	11%	9%	11%
EPS (\$) - reported	0.75	1.15	1.25	1.21	1.64	1.89	2.09	--	8%	(3%)	35%	15%	11%
DPS (\$) - total declared	0.32	0.61	0.87	0.75	0.84	0.93	1.04	--	43%	(14%)	12%	11%	12%
Cash DPS (\$) - declared	0.32	0.61	0.87	0.75	0.84	0.93	0.00	--	n.a	(14%)	12%	11%	--
Buyback (US\$ mn)	1,000	9,000	11,000	6,000	7,000	12,000	12,000	--	22%	(45%)	17%	--	0%
BVPS (US\$)	8.23	8.70	9.24	10.34	10.78	11.37	12.17	6%	6%	12%	4%	5%	7%
TBVPS (US\$)	7.36	8.08	8.60	9.62	10.05	10.61	11.38	10%	6%	12%	5%	6%	7%
Net customer loans (US\$ bn)	924,854	938,535	930,658	988,399	1,026,249	1,055,605	1,087,609	1%	(1%)	6%	4%	3%	3%
Customer accounts (US\$ bn)	1,570,303	1,611,647	1,654,955	1,786,828	1,848,260	1,905,298	1,958,674	3%	3%	8%	3%	3%	3%
CRD IV CET1 (US\$ bn)	119,291	126,501	124,911	132,593	129,487	133,972	138,154	6%	(1%)	6%	(2%)	3%	3%
CRD IV RWAs (US\$ bn)	839,720	854,114	838,254	888,647	901,325	924,282	949,668	2%	(2%)	6%	1%	3%	3%
CRD IV Leverage exposure (US\$ bn)	2,417,201	2,574,755	2,571,071	2,877,070	3,234,986	3,316,797	3,403,042	7%	(0%)	12%	12%	3%	3%
Key ratios													
NIM (% avg. net loans)	3.31%	3.84%	3.50%	3.63%	3.65%	3.63%	3.69%	53bp	-34bp	12bp	2bp	-2bp	6bp
Cost: income ratio (%)	63%	77%	81%	83%	46%	46%	45%	14pp	4pp	2pp	-37pp	0pp	-0.9pp
Cost of risk (bp)	36.5	37.0	36.5	40.1	46.3	37.8	37.5	0	37bp	41	55	95	-56bp
Dividend payout ratio (%)	43%	53%	70%	62%	51%	49%	0%	10pp	17bp	-8pp	-11pp	-2pp	-49bp
Total payout ratio (%)	50%	94%	122%	94%	77%	89%	0%	44pp	27.8pp	-28pp	-16pp	11pp	-88.9pp
Loans to deposits (%)	59%	58%	56%	55%	56%	55%	56%	-1pp	-2.0pp	-1pp	0pp	0pp	0.1pp
ROTE, underlying (%)	12.8%	15.5%	15.8%	17.0%	17.6%	18.2%	19.1%	271pp	28bp	124pp	52pp	65pp	85bp
ROE, reported (%)	8.3%	12.6%	13.0%	11.6%	14.4%	15.7%	16.4%	431pp	33bp	-132pp	277pp	131pp	68bp
CRD IV CET1 ratio (%)	14.2%	14.8%	14.9%	14.9%	14.4%	14.5%	14.5%	60pp	9bp	2pp	-55pp	13pp	5bp
CRD IV Total capital ratio (%)	18.7%	19.6%	20.1%	20.1%	19.4%	19.4%	19.3%	84pp	55bp	-2pp	-71pp	0pp	-8bp
CRD IV T1 leverage ratio (%)	5.8%	5.6%	5.6%	5.3%	4.6%	4.7%	4.7%	-15pp	1bp	-27pp	-69pp	2pp	0bp

Source: Company data, Morgan Stanley Research estimates (E)

Risk Reward – HSBC Holdings (0005.HK)

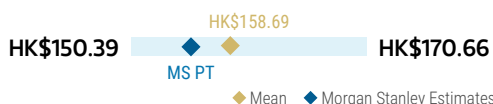
High-teens RoE and strong capital returns keeps us Overweight.

PRICE TARGET HK\$155.20

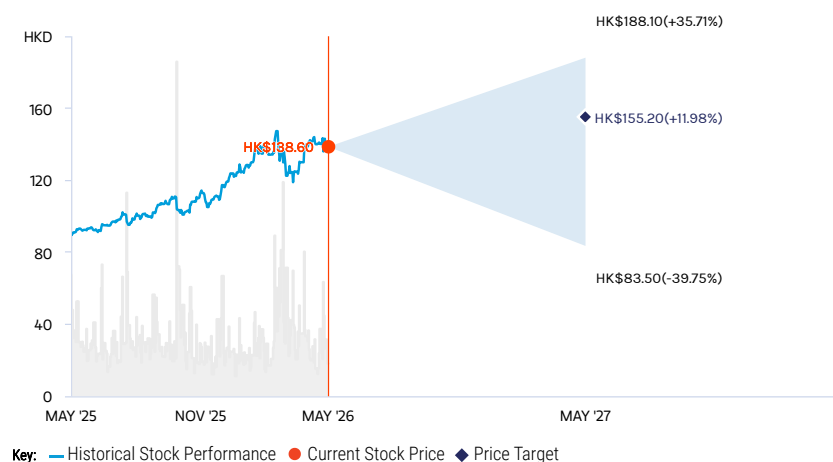
Our PT is based on a probability weighted methodology (bull 30%, base 65%, bear 5%, based on the likelihood of different macro outcomes). Scenario values are based on a 3-stage Gordon Growth Model adding the NPV of 5 year forecast dividend, to the NPV of 10 year implied dividends during a fade period and a terminal book value. We assume a CoE of 10% and terminal growth rate of 2.5%.

Consensus Price Target Distribution

Source: Refinitiv, Morgan Stanley Research



RISK REWARD CHART

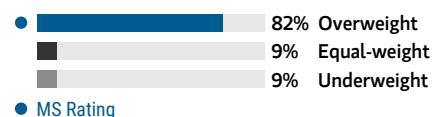


Source: Refinitiv, Morgan Stanley Research

OVERWEIGHT THESIS

- Rising rates have driven NIM higher. The rate cycle has now peaked, leading to NIM headwinds, but non-interest income growth and capital returns mean RoTE can stay above 17%.
- We have increased confidence in non-interest income growth (especially in wealth, but also in corporate banking). We also see continued cost control, with medium-term cost growth of c.3%.
- We see HSBC maintaining a 50% payout ratio, and share buybacks of c.US\$7-12bn from 2026 onwards. Capital returns will likely support the share price.
- Macro and geopolitical risks remain, but we expect capital returns and fee growth to provide support for the share price.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Self-help: *Positive*

View descriptions of Risk Rewards Themes [here](#)

BULL CASE

HK\$188.10

Costs well controlled

Global macro sentiment improves as oil price falls. Global growth supported by AI productivity gains, and rates and NIMs remain high. Revenues accelerate faster than in base case, yet HSBC still delivers 3% cost growth post 2026e. Macro risks abate, CoE 9.3%.

BASE CASE

HK\$144.90

Rate rises follow Fed curve; risks abate

Geopolitical tensions means uncertainty in global growth. Loan growth remains subdued, although we still see structural growth in fees. Costs remain well controlled.

BEAR CASE

HK\$83.50

Rising macro risks

Hard landing leads to fall in US rates to 2.5% and HSBC's NIM comes under more severe pressure. HSBC struggles to control costs and cost:income remains elevated. Macro and geopolitical risks increase. CoE 13.5%

Risk Reward – HSBC Holdings (0005.HK)

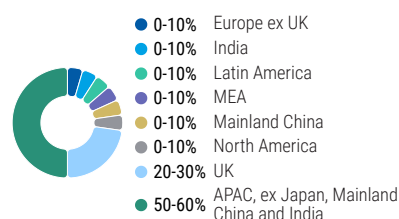
KEY EARNINGS INPUTS

Drivers	2025	2026e	2027e	2028e
Loan growth (%)	6.2	3.8	2.9	3.0
NIM (%)	1.59	1.59	1.58	1.61
Core PPoP growth (%)	20.0	15.2	(3.3)	11.2
Credit Costs (%)	0.39	0.45	0.37	0.37

INVESTMENT DRIVERS

- Revenue progression
- Cost management
- Asset quality outlook

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

2/5
MOST

3 Month
Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Delivery of sustained positive cost:income jaws
- Stronger than expected wealth growth
- Rates higher than expected
- More capital returns if the group decides it can move to <14% CET1 ratio in longer term

RISKS TO DOWNSIDE

- Slower than expected global growth drives increased credit risk
- China macro risks resurface
- Heightened geopolitical and tariff tensions
- Rates fall by more than expected

OWNERSHIP POSITIONING

Inst. Owners, % Active 60%

Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Dec 2027e

Sales / Revenue (US\$, mn) 71,857 77,429 78,830
75,630

Net income (US\$, mn) 25,155 32,393
30,281

EPS (US\$) 1.64 1.87 1.98
1.83

DPS (US\$) 0.80 0.93 0.99
0.90

◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

Risk Reward Reference links

1. View explanation of Options Probabilities methodology - [Options_Probabilities_Exhibit_Link.pdf](#)
2. View descriptions of Risk Rewards Themes - [RR_Themes_Exhibit_Link.pdf](#)
3. View explanation of regional hierarchies - [GEG_Exhibit_Link.pdf](#)
4. View explanation of Theme/Exposure methodology - [ESG_Sustainable_Solutions_External_Link.pdf](#)
5. View explanation of HERS methodology - [ESG_HERS_External_Link.pdf](#)

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Global Stock Ratings Distribution

(as of April 30, 2026)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1546	42%	467	51%	30%	709	44%
Equal-weight/Hold	1568	43%	358	39%	23%	715	44%
Not-Rated/Hold	4	0%	0	0%	0%	1	0%
Underweight/Sell	555	15%	84	9%	15%	202	12%
Total	3,673		909			1627	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

Analyst Stock Ratings

Overweight (O). The stock's total return is expected to exceed the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Equal-weight (E). The stock's total return is expected to be in line with the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Not-Rated (NR). Currently the analyst does not have adequate conviction about the stock's total return relative to the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Underweight (U). The stock's total return is expected to be below the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Unless otherwise specified, the time frame for price targets included in Morgan Stanley Research is 12 to 18 months.

Analyst Industry Views

Attractive (A): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be attractive vs. the relevant broad market benchmark, as indicated below.

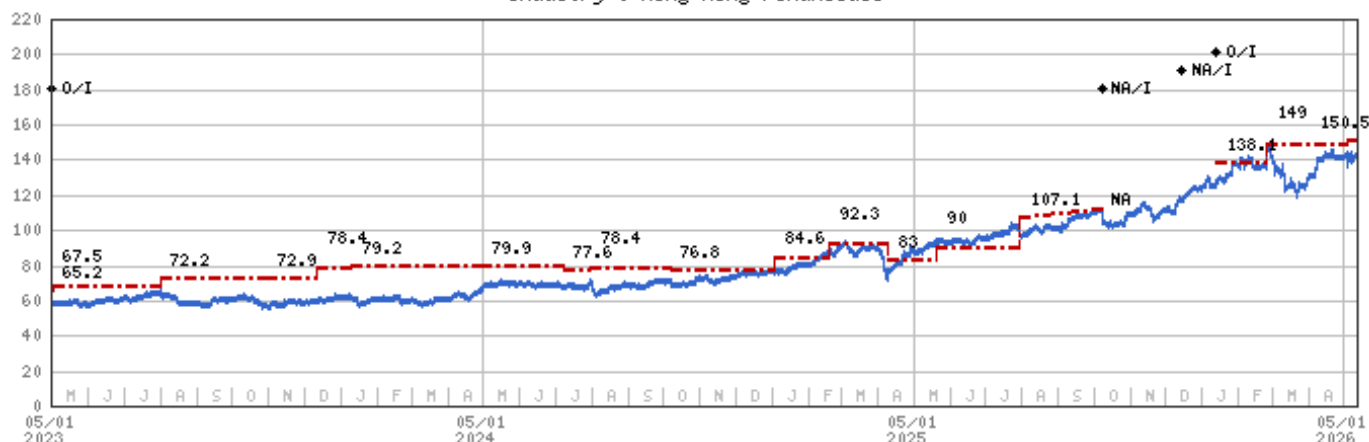
In-Line (I): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be in line with the relevant broad market benchmark, as indicated below.

Cautious (C): The analyst views the performance of his or her industry coverage universe over the next 12-18 months with caution vs. the relevant broad market benchmark, as indicated below.

Benchmarks for each region are as follows: North America - S&P 500; Latin America - relevant MSCI country index or MSCI Latin America Index; Europe - MSCI Europe; Japan - TOPIX; Asia - relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Stock Price, Price Target and Rating History (See Rating Definitions)

HSBC Holdings (0005.HK) - As of 05/12/26 GMT in HKD
Industry : Hong Kong Financials



Stock Rating History: 5/1/21 : E/C; 10/17/22 : O/I; 10/8/25 : NA/I; 12/14/25 : NA/I; 1/13/26 : O/I

Price Target History: 2/24/21 : 46; 8/5/21 : 48; 10/25/21 : 50; 12/2/21 : 50.4; 1/16/22 : 55.1; 2/16/22 : 58.2; 2/22/22 : 59; 8/1/22 : 61.3; 10/17/22 : 59.8; 2/21/23 : 64.4; 4/18/23 : 65.2; 5/2/23 : 67.5; 8/1/23 : 72.2; 10/30/23 : 72.9; 12/12/23 : 78.4; 1/11/24 : 79.2; 4/30/24 : 79.9; 7/8/24 : 77.6; 7/31/24 : 78.4; 10/7/24 : 76.8; 1/4/25 : 84.6; 2/19/25 : 92.3; 4/9/25 : 83; 5/21/25 : 90; 7/30/25 : 107.1; 10/8/25 : NA; 1/13/26 : 138.1; 2/25/26 : 149; 5/5/26 : 150.5

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)

Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —

Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View

Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)

Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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INDUSTRY COVERAGE: Hong Kong Financials

COMPANY (TICKER)	RATING (AS OF)	PRICE* (05/12/2026)
Nick Lord		
BOC Hong Kong (2388.HK)	U (01/04/2025)	HK\$46.18
HSBC Holdings (0005.HK)	O (01/13/2026)	HK\$138.60
Standard Chartered (2888.HK)	O (10/17/2022)	HK\$194.00
Richard Xu, CFA		
HK Exchanges & Clearing (0388.HK)	O (02/24/2025)	HK\$423.80

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* Historical prices are not split adjusted.